



Bournemouth Corporation Act 1969

CHAPTER vi

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ELIZABETH II



1969 CHAPTER vi

to make further provision for the investment of moneys forming part of the superannuation fund maintained by the mayor, aldermen and burgesses of the borough of Bournemouth; to confer further powers on the said mayor, aldermen and burgesses with regard to finance; and for other purposes.

[17th April 1969]

WHEREAS—

the borough of Bournemouth is a county borough under the management of the mayor, aldermen and burgesses of the said borough (in this Act called "the Corporation");

it is expedient to make further and better provision with regard to the investment of moneys forming part of the superannuation fund maintained by the Corporation and with reference to the finances of the county borough of Bournemouth;

it is expedient that the other provisions contained in this Act be enacted;

the purposes of this Act cannot be effected without the aid of Parliament;

1933 c. 51.

(5) In relation to the promotion of the Bill for this Act requirements of Part XIII of the Local Government Act 1933 have been observed:

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen's most Excellent Majesty, with the advice and consent of the Lords Spiritual and Temporal and Commons, in this present Parliament assembled, and by the authority of the same, as follows, that is to say:—

Short title.

1. This Act may be cited as the Bournemouth Corporation Act 1969.

Interpretation.

2.—(1) In this Act—

1960 c. xliii.

“ the Act of 1933 ” means the Local Government Act 1933;

“ the Act of 1960 ” means the Bournemouth Corporation Act 1960;

“ the borough ” means the county borough of Bournemouth;

“ the Corporation ” means the mayor, aldermen and burgesses of the borough;

“ enactment ” includes an enactment in this Act or in any general or local Act and any order or regulation made at any time being in force.

(2) Except where the context otherwise requires, any reference in this Act to any enactment shall be construed as a reference to that enactment as applied, extended, amended or varied by or in virtue of any subsequent enactment including this Act.

Investment of super-annuation fund.

3.—(1) Section 54 (Investment of superannuation fund) of the Act of 1960 shall have effect as if—

(a) the following paragraph were substituted for paragraph (a) of subsection (1):—

“ (a) in or upon any investments for the time being authorised by law for investment of trust funds; ”

(b) the following paragraphs were substituted for paragraphs (e), (f) and (g) of subsection (1):—

“ (e) in or upon any of the stocks, funds or securities of the government of any foreign country or state; ”

(f) in or upon the bonds, debentures, debenture stock, convertible debenture stock, obligations or securities of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or registered or incorporated in any part of the world; or

(g) in or upon any guaranteed, preference or ordinary stock or shares or any preferred or deferred or other stock or shares of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or registered or incorporated in any part of the world, being stock or shares which at the time of making the investment are quoted on any recognised stock exchange or similar institution; or

(h) in the purchase, whether alone or jointly or in common with any other person of immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands, or of any share or interest in such immovable property, including any interest in such immovable property comprised in a building agreement providing for the grant of a lease of such property contingent on the erection or completion of the building specified in such agreement; or

(i) in the advance of money upon the security of—

(i) immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands; or

(ii) any legal estate or interest in immovable property comprised in a building agreement as specified in paragraph (h) of this subsection;

and in any such case whether the security be taken by a separate and distinct mortgage or security made exclusively to the Corporation, or by a mortgage or security made jointly to the Corporation and any other person; or

(j) in undertaking or financing whether alone or jointly with any other person—

(i) the erection of a new building or the improvement or extension of an existing building; or

(ii) building operations or other development;

on land belonging to the Corporation or to any other person or on land which is, or will be, held jointly by the Corporation and any other person; or

(k) upon the security of freehold or leasehold ground rents, land charges or rentcharges ”;

In the proviso to subsection (1) for the words “ paragraphs (e) ” wherever they occur there were substituted the words “ paragraph (g) ”, for the words “ following conditions ” there were substituted the words “ condition that ”, paragraphs (i) and (iii) were omitted and in paragraph (ii) for the word “ one- ” there were substituted the word “ three-quarters ”;

(d) after subsection (2) there were inserted the following subsection:—

“(3) In subsection (1) of this section the expression ‘recognised stock exchange’ in its application to the United Kingdom means any body of persons which for the time being is a recognised stock exchange for the purposes of the Prevention of Fraud (Investments) Act 1958, or the Belfast Stock Exchange.”

1958 c. 45.

(2) Accordingly section 54 (Investment of superannuation fund) of the Act of 1960 shall have effect as set out in the Schedule to this Act.

Expenses of investment of superannuation fund.

4. All costs, charges and expenses incurred by the Corporation in investing moneys forming part of the superannuation fund maintained by them, or otherwise in relation thereto, shall be paid by the Corporation out of that fund.

Powers of Act to be cumulative.

5. All powers and duties conferred or imposed by this Act by section 54 (Investment of superannuation fund) of the Act of 1960 shall be deemed to be in addition to and not in derogation of any other powers and duties conferred or imposed by any enactment, law or custom, and, subject to any express provision of this Act or of the said section 54, all such other powers and duties may be exercised and shall be performed in the same manner and as if this Act had not been passed and the said section 54 had not been enacted.

Power to Corporation to raise money by issue of bills.

6.—(1) In addition to the modes of borrowing prescribed by the Act of 1933, the Corporation may raise money—

- (a) for any purpose for which the Corporation are authorised to borrow;
- (b) in anticipation of the receipt of revenues, for any purpose for which the revenues of the Corporation may properly be applied;

by means of bills (to be called “Bournemouth Corporation bills” and in this section referred to collectively as “bills”, and separately as a “bill”), subject to and in accordance with the following provisions:—

- (i) A bill shall be in the form prescribed by regulation made under this section and shall be for the payment of a sum named therein in the manner and at the date mentioned, being a date not more than twelve months from the date of the bill;
- (ii) A bill shall entitle the holder thereof to payment at maturity of the sum expressed in the bill to be paid;
- (iii) Bills may be offered for purchase (whether by tender or otherwise) in such manner and on such conditions as the Corporation may determine:

(iv) Bills shall be issued under the authority of a resolution passed by the council of the borough and shall bear the signature of the treasurer of the borough or of some other person authorised by the council of the borough:

(v) The Corporation may make regulations providing for—

(a) the preparation and form and the mode of issue, payment and cancellation of bills;

(b) the issue of a new bill in lieu of one defaced, lost or destroyed;

(c) the prevention, by the use of counterfoils or of a special description of paper or otherwise, of fraud in relation to bills;

(d) the giving of a proper discharge on the payment of a bill; and

(e) amending or revoking any regulations previously made or deemed to have been made under this paragraph;

(vi) The amount of money received in respect of a bill shall be deemed to be principal money raised by means of the bill and the difference between the amount payable in respect of a bill and the amount received in respect thereof shall be deemed to be interest on the principal money so raised:

(vii) The aggregate amount payable on bills current at any one time shall not (except by the amount payable on bills issued shortly before any other bills fall due in order to pay off the last-mentioned bills) exceed—

(a) the sum of one million pounds; or

(b) one-fifth of the amount of the estimated gross rate income of the borough during the then current financial year;

whichever is the greater:

(viii) Subject to the provisions of the last preceding paragraph the Corporation may renew a bill at maturity:

The Corporation may borrow for the purpose of repaying the principal money raised by bills but except as aforesaid the power of the Corporation to borrow shall be limited to the extent of the amount which has been raised for capital purposes by the issue of bills.

Section—

"Financial year" means a period of twelve months ending on 31st March;

1967 c. 9.

“ gross rate income ” means the gross rate income as determined in the determination of the product of a rate of one per cent in the pound under rules made pursuant to section 1 of the General Rate Act 1967;

“ revenues ” has the same meaning as in section 21 of the Local Government Finance Act of 1933;

“ signature ” includes a facsimile of a signature by any process reproduced.

Reserve funds.

7.—(1) (a) The Corporation may (if they think fit) set aside a reserve fund in respect of any undertaking, department or service of the Corporation from which revenue is derived, by setting aside such an amount as they may from time to time think reasonable and (unless the amounts so set aside are applied in any other manner authorised by any enactment) investing the same in any securities in which trustees are from time to time authorised to invest trust funds or in which the Corporation is authorised by section 54 (Investment of superannuation fund) of the Local Government Finance Act of 1960, as amended by this Act, authorised to invest money forming part of the superannuation fund maintained by the Corporation until the fund so provided amounts to the maximum for the time being prescribed by the Corporation.

(b) Any income arising from the investment of the money in the reserve fund in manner provided by this subsection shall be carried to and form part of the general rate fund of the Corporation and an amount equivalent to such income shall be credited to the reserve fund.

(2) The reserve fund provided under this section in respect of the undertaking, department or service to which it relates be applied—

(a) in making good any deficiency at any time happening in the income of the Corporation from the undertaking, department or service; or

(b) in meeting any extraordinary claim or demand at any time arising against the Corporation in respect of the undertaking, department or service; or

(c) in or towards the payment of the cost of erecting, improving or extending any works, buildings, machinery, plant or conveniences forming part of the undertaking, department or service or otherwise for the benefit thereof;

and so that if the fund be at any time reduced it may be again restored to the prescribed maximum and so from time to time as often as such reduction happens.

(3) Resort may be had to the reserve fund provided under this section although such fund may not at the time have reached the prescribed maximum and may have been reduced below the prescribed maximum.

(4) If and when the Corporation establish a reserve fund under this section in respect of any such undertaking, department or service as aforesaid any moneys standing to the credit of any reserve fund or contingency or depreciation fund provided by the Corporation in respect of that undertaking, department or service and in existence at the date of the passing of this Act shall be carried to and form part of the reserve fund provided under this section in respect of that undertaking, department or service.

(5) If and when the Corporation establish a reserve fund under this section in respect of any of the undertakings referred to in section 258 (Reserve funds for Corporation's undertakings) of the Bournemouth Corporation Act 1930 the said section 258 shall 1930 c. cxxx. be deemed to apply in respect of that undertaking.

8. (1) The costs, charges and expenses preliminary to and of Costs of Act. and incidental to the preparing, applying for, obtaining and passing of this Act shall be paid by the Corporation and the Corporation shall have power without the consent of any sanctioning authority to borrow the sum required for the payment thereof and shall repay the sum so borrowed within such period as they may determine not exceeding five years from the date of borrowing.

(2) The provisions of Part IX of the Act of 1933 so far as they are not inconsistent with this Act shall extend and apply to money borrowed under this section as if it were borrowed under Part IX and the period fixed under this section for the repayment of the money borrowed shall as respects that money be the period for the purpose of the said Part IX.

SCHEDULE

Section 3. ACT OF 1960, SECTION 54 (INVESTMENT OF SUPERANNUATION FUND)
AS AMENDED

1937 c. 68. 54. --(1) In its application to the Corporation subsection (1) of section 21 of the Local Government Superannuation Act 1937 shall have effect as if for the obligation to invest as mentioned in that subsection moneys forming part of but not for the time being required to meet payments to be made out of the superannuation fund managed by the Corporation under that Act there were substituted an obligation to invest such moneys as follows (namely):—

- (a) in or upon any investments for the time being authorised by law for investment of trust funds; or
- (b) in or upon any of the stocks, funds or securities of any such dominion, commonwealth, union, dependency or colony forming part of the British Commonwealth of Nations or any province or state having a separate local legislature forming part of any such dominion, commonwealth, union, dependency or colony; or
- (c) in or upon any of the stocks, bonds, mortgages or securities of any municipality or county or district council or other public authority or board in the United Kingdom or in any such dominion, commonwealth, union, dependency, colony, province or state as aforesaid authorised under any general or special Act of the United Kingdom Parliament or of the legislature concerned to issue the same; or
- (d) in or upon any stocks, shares, bonds, mortgages or securities of any such dominion, commonwealth, union, dependency, colony, province or state as aforesaid whereof or a minimum rate of dividend or interest is guaranteed by the United Kingdom Government or by the government of any such dominion, commonwealth, union, dependency, colony, province or state as aforesaid; or
- (e) in or upon any of the stocks, funds or securities of any government of any foreign country or state; or
- (f) in or upon the bonds, debentures, debenture stock, debenture stock, obligations or securities of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or incorporated in any part of the world; or
- (g) in or upon any guaranteed, preference or ordinary shares or any preferred or deferred or other stock or shares of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or registered or incorporated in any part of the world being stock or shares which at the time of making the investment are quoted on any recognised stock exchange or on any similar institution; or
- (h) in the purchase, whether alone or jointly or in common with any other person of immovable property of any tenement or

and in the United Kingdom, the Isle of Man or the Channel Islands, or of any share or interest in such immovable property, including any interest in such immovable property comprised in a building agreement providing for the grant of a lease of such property contingent on the erection or completion of the building specified in such agreement; or

(f) in the advance of money upon the security of—

(i) immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands;

(ii) any legal estate or interest in immovable property comprised in a building agreement as specified in paragraph (h) of this subsection;

and in any such case whether the security be taken by a separate and distinct mortgage or security made exclusively to the Corporation, or by a mortgage or security made jointly to the Corporation and any other person; or

(g) in undertaking or financing whether alone or jointly with any other person—

(i) the erection of a new building or the improvement or extension of an existing building; or

(ii) building operations or other development;

on land belonging to the Corporation or to any other person or on land which is, or will be, held jointly by the Corporation and any other person; or

(h) on the security of freehold or leasehold ground rents, land or tenements or rentcharges;

and power to vary such investments from time to time by sale and purchase or otherwise;

Provided that the investment of such moneys as aforesaid in any manner of the nature specified in paragraph (g) of this subsection shall be subject to the qualification that no investment shall be made in any manner in which the value of all the investments made under the said paragraph which form part of the superannuation fund equals or exceeds one quarter of the total value of the assets of that fund.

For the purposes of subsection (1) of this section the value of any investment of moneys forming part of the superannuation fund shall be taken as being the value of the investment at the time it was made.

In subsection (1) of this section the expression "recognised stock exchange" in its application to the United Kingdom means any stock exchange which is for the time being a recognised stock exchange for the purposes of the Prevention of Fraud (Investments) Act 1938 (1938 c. 45).

1958 c. 45.

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